Alongside this, India lacks a class action lawsuit mechanism, so there is no mechanism for (say) the shareholders of Satyam to sue. The design that was adopted in building SEBI was that *only* SEBI can initiate enforcement actions against a person. This is how we got to the administrative state. Now the difficulties of public management impact upon the enforcement process. Thus, persons who have experienced harm are supplicants before SEBI, requesting SEBI to enforce securities law.

Consider the judicial wing associated with regulatory actions. Securities regulators in other countries fuse the legislative and executive functions. They write regulations and they conduct investigations. But the cases brought by the securities regulator are heard in an ordinary court. In India, given the delays in judicial enforcement, we placed a judicial function at SEBI also. With this, the doctrine of separation of powers is absent in a regulator like SEBI. SEBI has become a very powerful organization, by the fusing of legislative, executive and judicial functions, and having a monopoly on enforcing securities law. In the memorable phrase of M. Sahoo, now chairman of the IBBI, regulators in India are ‘mini-states’. This concentration of powers hampers the emergence of state capacity.

The policy possibilities for a country with high judicial capacity

India today is at a polar extreme, away from mature common law jurisdictions, with the domination of the administrative state. We are weak on contract enforcement, torts, class action lawsuits and private enforcement. Organizations like SEBI are increasingly stepping into the shoes of the erstwhile central planning system.

In the late 1980s and the 1990s, the leadership in the Ministry of Finance and in SEBI was engaged in building SEBI in a practical way. They treated courts as flawed and looked for ways to make progress. While such strategies are useful in the short run, at a deeper level, they have limitations.